

Booms and Busts

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There is a pronounced difference between bull markets that are made by manipulation and those that are made by the public. The former represent[s] the effort of a small number of persons; the latter reflects the sense of the country on values. It is possible to create a limited public sentiment by manipulation, but the sentiment that endures and sweeps away the strongest interests which oppose it is invariably founded upon general conditions which are sufficiently universal and sufficiently potent to affect the opinions of practically everybody.

The growth of public opinion in regard to values is necessarily slow. The low point in the stock market is generally reached at a time when commodities are well down to the cost of production, when manufacturing interests are depressed, when railroad earnings are small, and when general business is unprofitable. People have sold their investments because the proceeds were needed in their lines of business or for living purposes. Everybody buys from hand to mouth because the experience of the years preceding has been that everything grew cheaper.